

acuity. Some of them, having been persuaded of their own exemption from confining orthodoxy, will, as noted, have gone beyond the law, and their fall and, occasionally, their incarceration will now be viewed with righteous satisfaction.

There will also be scrutiny of the previously much-praised financial instruments and practices—paper money; implausible securities issues; insider trading; market rigging; more recently, program and index trading—that have facilitated and financed the speculation. There will be talk of regulation and reform. What will not be discussed is the speculation itself or the aberrant optimism that lay behind it. Nothing is more remarkable than this: in the aftermath of speculation, the reality will be all but ignored.

There are two reasons for this. In the first place, many people and institutions have been involved, and whereas it is acceptable to attribute error, gullibility, and excess to a single individual or even to a particular corporation, it is not deemed fitting to attribute them to a whole community, and certainly not to the whole financial community. Widespread naiveté, even stupidity, is manifest; mention of this, however, runs drastically counter to the earlier-noted presumption that intelligence is intimately associated with money. The financial community must be assumed to be intellectually above such extravagance of error.

The second reason that the speculative mood and mania are exempted from blame is theological. In accepted free-enterprise attitudes and doctrine, the market is a neutral and accurate reflection of external influences; it is not supposed to be subject to an inherent and internal dynamic of error. This is the classical faith. So there is a need to find some cause for the crash, however farfetched, that is external to the market itself. Or some abuse of the market that has inhibited its normal performance.

Again, this is no matter of idle theory; there are very practical consequences, and these, as we shall see, are especially evident and important in our own time. That the months and years before the 1987 stock-market crash were characterized by intense speculation no one would seriously deny. But in the aftermath of that crash, little or no importance was attributed to this speculation. Instead, the deficit in the federal budget became the decisive factor. The escape from reality continued with studies by the New York Stock Exchange, the Securities and Exchange Commission, and a special presidential commission, all of which passed over or minimized the speculation as a conditioning cause. Markets in our